

SRF Ltd — Concall Tracker

Do the earnings calls point to a durable earning trigger, and has management been consistent about it? | Report quarter: **Q1 FY27** (filed Q1-2027) | Screener ticker: SRF

Reading basis: last 2–3 years of earnings calls. This report deep-reads the two most recent full transcripts (Q3 FY26, Q4 FY26) plus the Q1 FY27 results and investor presentation, set against 12 years of reported financials. Not investment advice.

1. Snapshot

What SRF does: SRF is a diversified chemicals-led manufacturer. It makes money from four businesses: **Chemicals** (fluorochemicals — refrigerant gases, industrial chemicals, fluoropolymers — plus specialty chemicals for agrochemical and pharma customers), **Performance Films & Foil** (packaging films — BOPET/ BOPP — and aluminium foil), **Technical Textiles** (tyre-cord fabric, belting fabric, industrial yarn), and a small **Others** (coated/laminated fabrics). It exports to 90+ countries and manufactures across 16 facilities in 5 countries.

Metric (FY26, consolidated unless noted)	Value	Plain-English read
Market capitalisation	₹79,008 cr	Total value the market puts on the company (~₹79 thousand crore).
Revenue (FY26)	₹15,787 cr	Total sales for the year, up ~7% on FY25 — a modest top-line year.
Operating EBIT (FY26)	₹3,008 cr	Profit from operations before interest and tax, up ~29% — profit grew far faster than sales (margins recovered).
Net profit / PAT (FY26)	₹1,835 cr	Final profit after all costs, up ~47% — management called it their second-best year ever.
Operating margin (OPM, FY26)	~24%	About ₹24 of every ₹100 of sales is operating profit — back near the high-quality 24–26% band of FY22–23.
Stock P/E	40.1	Price is ~40× yearly profit — a rich, growth-priced valuation; the market expects earnings to keep rising.
ROCE / ROE	15.9% / 14.8%	Return on capital / equity — decent but below the ~23–25% peak of FY22–23, reflecting heavy ongoing capex.
Net debt / equity (FY26)	0.27	Low leverage — borrowings are ~27% of shareholders' funds; balance sheet is comfortable for a big capex cycle.

The 12-year earnings arc frames the whole story: PAT rose from ₹925 cr (FY21) to a peak ₹2,023 cr (FY23), fell through the down-cycle to ₹1,374 cr (FY24) and ₹1,268 cr (FY25), then recovered to ₹1,835 cr (FY26). The calls read below are the recovery leg of that cycle. (Screener's standalone P&L shows a smaller ₹12,421 cr revenue / ₹1,725 cr PAT for FY26 — the ₹15,787 cr / ₹1,835 cr figures above are the consolidated numbers management reports on the calls.)

2. Concall coverage

Period	Call date	Transcript read?
Q2 FY24	30 Oct 2023	Only the BSE cover letter was retrievable — the full transcript link (srf.com) is dead. Not deep-read.
FY24 – Q2 FY26 (multiple calls)	2023–2025	Screener lists these calls but all point to broken srf.com PDF links — not retrievable. Backstory reconstructed from reported financials and forward references made on the later calls.

Q3 & 9M FY26	20 Jan 2026	Yes — read in full ★
Q4 & FY26	6 May 2026	Yes — read in full ★ (latest full transcript)
Q1 FY27	22 Jul 2026	Results + investor presentation read ★ (full transcript not yet published)

Coverage note (honest limitation): SRF hosts older transcripts on its own website behind links that no longer resolve, so a clean multi-year quarter-by-quarter transcript audit was not possible. The deep reading here covers the three most recent earnings events (Q3 FY26, Q4 FY26, Q1 FY27), which is roughly the last four quarters; the longer arc is anchored on 12 years of reported numbers and the forward-looking commitments management repeated on those recent calls. The consistency read is therefore firmest for the recovery period and lighter on FY24–FY25.

2b. Latest highlights — Q1 FY27 (call 22 Jul 2026)

- **Blow-out quarter.** Consolidated revenue **₹5,033 cr**, up ~32% year-on-year — sales grew about a third. EBITDA (operating profit) **₹1,373 cr**, up ~61%, margin jumping to 27.3% from 22.3%. Net profit **₹759 cr**, up ~76%; EPS ₹25.60. Plain read: profit grew more than twice as fast as sales — every segment's margin expanded.
- **All four segments' operating profit surged.** Chemicals EBIT ₹638 cr (+27%), Performance Films & Foil EBIT ₹350 cr (+149%, margin 17.3% vs 9.9%), Technical Textiles EBIT ₹108 cr (+186%, margin 18.1% vs 8.1%). Chemicals is 57% of group EBIT.
- **Important caveat management itself flagged:** part of the films and textiles margin surge came from geopolitical supply disruptions and inventory gains that "are expected to normalize as demand-supply conditions return to more balanced levels." So this is partly a windfall quarter, not all structural.
- **Growth pipeline confirmed on track:** capacitor-grade BOPP approvals secured from key customers; a new ₹250 cr BOPET thick-film line approved; the Odisha next-generation refrigerant-gas project progressing on plan; fluorochemicals running at full utilisation with PTFE ramp-up adding value-added grades.
- **Tone:** confident and expansion-minded, while candid that Chinese pricing pressure in specialty chemicals and geopolitical raw-material volatility persist.

Note: the Q1 FY27 *full call transcript* was not yet published at the time of writing; these highlights come from the filed Q1 FY27 results and the company's own Q1 FY27 investor presentation dated 22 Jul 2026.

2c. Business mix & capacity

- **Segment mix (Q1 FY27 revenue):** Chemicals 46%, Performance Films & Foil 40%, Technical Textiles 12%, Others 2%. On profit (EBIT) Chemicals is the engine at 57%. *Chemicals is the biggest and most profitable leg; films is the second engine.*
- **Domestic vs export:** Management does not break out a clean India-vs-exports revenue split (they direct analysts to the IR team). What is disclosed: exports reach 90+ countries, with manufacturing in 5 countries; fluorochemicals combines domestic HFC leadership with large exports, and the films business has substantial overseas plants (Thailand, South Africa, Hungary). *So a single domestic/export % is not stated — do not read one into it.*
- **Capacity utilisation:** HFC (refrigerant) plants are at "full / optimal utilisation." SRF is debottlenecking to lift HFC capacity beyond 65,000 tonnes/year, and building a new 20,000 tonnes/year next-generation (HFO) gas plant at Odisha, targeted for commissioning by Feb 2028. *The core refrigerant plants are effectively full — future growth needs the new capacity now being built.*

3. Earning-trigger thesis ★

SRF's earnings engine is **fluorochemicals**, and management points to a stacked set of drivers that should grow profit over the next 2–4 years. The near-term driver is a **refrigerant (HFC) pricing tail-wind**: under the global Kigali Amendment phase-down, each producer's future quota is fixed on its own 2024–2025–2026 production, so SRF is running its HFC plants flat-out to maximise its baseline, while quota-led supply tightness (including in China) keeps HFC prices firm. Behind that sit three structural bets: (1) a ₹2,300 cr **next-generation "green" refrigerant (HFO) plant at Odisha** using in-house, non-infringing technology, with backward integration into hydrofluoric acid; (2) a high-margin **fluoropolymer supply contract with Chemours** that management calls the start of a bigger relationship; and (3) a **specialty-chemicals recovery** (agrochemical cycle turning, plus a deliberate pivot to scale pharma intermediates). The Films and Textiles businesses add a cyclical recovery kicker.

Trigger	What management said	Evidence so far	Horizon	Strength
HFC refrigerant pricing & quota play	Run plants full to lock 2024–26 Kigali baseline; quota tightness keeps prices firm; guiding Chemicals to 15–20% growth in FY27.	FY26 fluorochemicals a record year on volume & realisation; Chemicals EBIT +27% in Q1 FY27; near-zero Chinese imports; R-134a/R-32 pricing firm.	Now → FY27 (baseline year is CY2026)	Strong — concrete and already showing in numbers.
Next-gen HFO gas plant (Odisha)	~₹2,300 cr; 20,000 t/yr of HFO-1234yf/ze/1233zd + 30,000 t hydrofluoric acid; in-house tech; commissioning ~Feb 2028.	Capex approved & scaled up vs the Oct-2024 plan; site regulatory approvals being obtained; described as "on plan."	Medium — FY28+ revenue	Moderate — right structural bet, but revenue is still 2+ years out and pre-commissioning.
Chemours fluoropolymer contract	High-margin; plants come up over CY2026; "starting point of a larger relationship."	Management repeatedly says "on track / progressing well"; ramp expected from Q4 FY27.	Short-medium — from ~Q4 FY27	Moderate — credible partner and margin, but not yet in the P&L.
Specialty chemicals recovery + pharma scale-up	Agro cycle to turn once Chinese "irrational" pricing normalises; scale pharma intermediates from ~10% toward 20% of specialty (2nd Dahej plant, ₹180 cr).	Early agro-demand recovery signs; new pharma molecules gaining acceptance; but pricing pressure still live in Q1 FY27.	Medium — FY27/28	Moderate/Unproven — depends on an external cycle turn management admits it can't time.
Films & Textiles cyclical recovery	BOPET cycle bottoming (China "anti-involution" capacity cuts); new BOPA/BOPP/capacitor lines; aluminium-foil export ramp.	Q1 FY27 films EBIT +149%, textiles +186% — but partly one-off inventory/supply gains that management says will normalise.	Now, but partly transient	Moderate — real recovery, but the Q1 spike overstates the run-rate.

4. Management consistency scorecard

Period	What was promised / signalled	What actually happened	Verdict
FY26 (start of year)	~20% growth for the whole Chemicals segment.	Chemicals grew ~16% for FY26 — fluorochemicals over-delivered (record year), but specialty fell short on the weak agro cycle.	Partly — headline missed, but the miss was flagged honestly and

		Management said openly it would miss the 20% on specialty.	driven by an external cycle.
Q3 FY26	Q4 would be "substantially better" for specialty on pent-up orders; full-year to finish strong.	Q4 FY26 delivered — FY26 PAT +47%, "second-best year ever"; momentum carried into a very strong Q1 FY27.	Delivered
Oct 2024 → FY26	Invest in next-generation refrigerant (HFO) gases at a new site.	Not dropped — scaled up: Board revised the capex to ~₹2,300 cr at Odisha with backward integration; timeline (~Feb 2028) and clearances progressing.	On track (too-early to judge output)
Multi-year	Grow agro but "de-risk" by scaling pharma intermediates toward 20% of specialty.	Consistent story for years; 2nd pharma plant (₹180 cr, Dahej) sanctioned and coming up; new molecules gaining early acceptance.	On track
Films (BOPP)	Earlier plan: a second BOPP line for 2027.	Plan changed — second BOPP line "indefinitely deferred"; instead investing ₹180 cr in a BOPA line (Sept 2027). Reallocated to a better-return use.	Dropped / re-planned — a genuine change, but explained by demand-supply.
Forex hedging	Rupee-dollar forward covers would carry MTM losses "for a few more quarters."	Consistent, repeated warning across Q3–Q4 FY26; the loss is showing (Q1 FY27 ECF loss ₹102 cr) exactly as flagged.	Delivered (as warned)

Narrative drift: The core story has stayed remarkably steady — fluorochemicals leadership, the Kigali quota play, the next-gen HFO bet, and the pharma de-risking have all been repeated and built on rather than swapped out. Management is notably candid about the weak spots (specialty/agro pricing, forex losses, the transient nature of Q1 FY27's film/textile margins) instead of glossing over them, which raises trust in the guidance. The main "drift" is the indefinite deferral of the second BOPP line — but that was re-directed into a BOPET/BOPA investment with a stated rationale, not a quiet abandonment. Tone across the covered calls moved from cautious (Q3 FY26, mid-down-cycle) to confident (Q1 FY27, recovery in full swing).

5. Bottom line — two verdicts

Durable earning trigger? → YES

There is a clear, concrete and still-live driver: fluorochemicals, powered by the Kigali quota-driven HFC pricing cycle now, with the Odisha next-gen HFO plant and the Chemours fluoropolymer contract layered on for the next leg. It is not a hope — it is already visible in the numbers (FY26 record fluorochemicals year, Chemicals EBIT +27% and group PAT +76% in Q1 FY27). The honest qualifier: some of the very latest headline strength (film and textile margins) is a windfall management itself says will normalise, and the biggest structural bets (HFO, Chemours) are still 1–2+ years from the P&L. But the central engine is real and running, so this is a Yes, not a Maybe.

Management consistent? → YES (read is firmest for the recovery quarters; older-transcript access was limited)

Across the calls that could be read, management largely delivered what it promised and kept one steady story: it warned FY26 specialty would miss on agro (it did, and they said so), promised a stronger Q4 and full year (delivered — second-best year ever), flagged forex losses that then showed up on cue, and has consistently repeated and funded the HFC / next-gen-gas / pharma-de-risking thesis rather than reinventing it each year. The candour about weak spots is a plus for trust. The verdict is tempered — but not lowered — by the fact that broken older-transcript links prevented a full multi-year quarter-by-quarter audit, and by one

genuine re-plan (the deferred second BOPP line). On the evidence available, the promised-vs-delivered record is good and the narrative is steady, so this is a Yes.

Sources: SRF Ltd Q3 FY26 (20 Jan 2026) and Q4 FY26 (6 May 2026) earnings-call transcripts; SRF Q1 FY27 results and investor presentation (22 Jul 2026); Screener.in financial snapshot (profit & loss, quarterly, ratios) for SRF. Older transcripts listed on Screener were hosted on srf.com behind links that no longer resolve and could not be deep-read. This document is an AI-generated reading of public earnings-call material for tracking purposes. It is NOT investment advice — do your own due diligence.